

5-5c Comparison of Gross and Net Methods

A comparison of the gross and net methods using the **NetSolutions** sale of \$18,000 illustrated earlier is shown in **Exhibit 17**.

Exhibit 17

Gross and Net Methods of Recording Sales Discounts

		Gross Method	Net Method
Sale:			
20Y8			
Mar. 10	Accounts Receivable—Digital Technologies	18,000	17,640
	Sales	18,000	17,640
10	Cost of Goods Sold	10,800	10,800
	Inventory	10,800	10,800
Discount Taken:			
Mar. 19	Cash	17,640	17,640
	Sales Discounts	360	
	Accounts Receivable—Digital Technologies	18,000	17,640
Discount Not Taken:			
Apr. 9	Cash	18,000	18,000
	Accounts Receivable—Digital Technologies	18,000	17,640
	Sales		360